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Date

November 3, 2023

Our reference

z2023-1119

Your letter of

February 14, 2023

Contact person

Your reference

4485513

Subject

Decision on data processing by partnerships

Dear Ms. Yesilgöz-Zegerius,

By letter dated February 14, 2023, the Authority for Personal Data (AP) was consulted based on the provisions of Article 36, paragraph 4, of the General Data Protection Regulation (GDPR) regarding the draft Decision on data processing by partnerships (hereinafter: the draft).

Preliminary: considerations regarding the intended legislative complex as a whole (WGS and BGS)

The draft is the concluding piece of a legislative operation in which the AP provided particularly critical advice on three consecutive versions of the legislative proposal for a Law on data processing by partnerships (hereinafter: WGS). In the second and third advice, important improvements were noted, but these were insufficient to fully address the AP's objections.

The first legislative proposal suffered from vague objectives, did not describe precisely enough which types of data should be processed, and did not establish a clear starting point for bringing a signal into a consultation. Gradually, in the second and third versions, but particularly in the present draft for a design decision (BGS), these points have been partially addressed. Where initially there was only a matter of

1 Legislative advice on the legislative proposal for data processing by partnerships dated January 4, 2019 reference z2018-17015, Supplementary advice on the legislative proposal for data processing by partnerships dated April 19, 2019 reference z2019-04671, Advice on the amended proposal for the Law on data processing by partnerships (WGS) dated November 9, 2021 reference z2021-08378.

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From a rather empty framework law, a much better thought-out whole has gradually emerged, in which it is clear what collaborative partnerships exist, what the purpose of that collaboration is, who may participate, what the 'input' and 'output' may be, and under what circumstances this is allowed. Along the way, safeguards have also been built in that are expected to promote careful consideration, assessment, and transparency.

Another important objection was that the intention was to not have collaborative partnerships shaped by the (formal) legislator, but to designate and further elaborate them by means of a general administrative measure. In the legislative proposal currently before the Senate, a limited number of specifically named collaborative partnerships are ultimately regulated. It has been promised that the possibility of regulating new collaborative partnerships by general administrative measure will not come into effect and will be removed. Only in emergency situations will this be temporarily possible pending a mandatory legislative proposal. The AP considers it important that the promised amendment proposal is submitted in the short term so that the Senate can vote on an adjusted proposal.

The extent to which the government can focus on citizens who are (formally, still) not suspects due to this data exchange carries risks, which practice will have to show whether these are sufficiently mitigated by the limitations and safeguards in this system. For example, the proposal, as a result of an amendment, also allows for the exchange of data between participants of different collaborative partnerships. Consequently, the scope of possible processing in the system potentially increases significantly, regardless of these limitations and safeguards.

The rights of data subjects are of great importance here, but due to investigative risks, it is plausible that limitations on these rights will often be relevant in this context. After all, individuals who may become suspects will generally not be informed that this is the case in the interest of the investigation. The minister states that these limitations would already be satisfactorily regulated by law. The AP does not find this sufficiently convincing, partly due to the inadequate manner in which the possibility of limiting rights is laid down in the Implementation Act of the GDPR. The AP has repeatedly pointed out that the way this has been shaped in the UAVG does not meet the requirement that these provisions must also be sufficiently precise and clear and predictable in application. Only in this way can it be guaranteed that those exceptions remain limited to what is strictly necessary.

'Necessity' will also remain a point of attention in the future; alongside the classic deployment of police and justice and the possibilities that collaboration among participants within these partnerships offers, there are often other, equally far-reaching legal options available or foreseen for addressing more or less the same issues (money laundering, undermining). Where data exchange does not have a clear added value compared to other options, there is, of course, no necessity and proportionality in the sense of the Charter of Fundamental Rights of the European Union.

2 Parliamentary Documents II 2021/22, 35 447, no. 21, p. 4. This promise has been reiterated in Parliamentary Documents I 2022/23, 35 447, no. K, p. 50.

3 Parliamentary Documents II 2021/22, 35 447, no. 21, p. 15 et seq. Reference is made to the GDPR, WPG, and WJSG. The GDPR exception is important but limited to the right to information; WPG and WJSG are relevant for provision to a collaborative partnership but do not apply to processing within the partnership. See regarding the limitation of rights under the UAVG the advice of the AP dated November 11, 2020, reference z2020-08972, concerning the draft for a legislative proposal on the Consolidation Act on Data Protection (Inventory of initial experiences with the UAVG).

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is more at stake. Where two systems are (about to) duplicate at this point, a choice must therefore be made, under penalty of loss of legality of either one system or the other.

The AP, weighing everything, is nonetheless of the opinion that - after the removal from the legislative proposal of the possibility to expand the system by means of a general administrative measure (amvb) and in combination with the safeguards and limitations introduced in the present draft - many meaningful improvements have been implemented.

Testability (against established criteria) and transparency have been materially arranged. However,

much will depend on the strictness with which the criteria for engaging the cooperation association will be monitored (see further under Judicial Review). Additionally, it is problematic that the delegation basis for the safeguards and limitations introduced in the amvb is optional (see further under The Partially Optional Nature of Substantial Limitations in General Administrative Measures).

In order to achieve lawful processing of personal data and thus a lawful interference with the fundamental right to the protection of personal data and the fundamental right to privacy, it is necessary to amend and tighten the law and the decision specifically on these points.

Judicial Review

The principle of proportionality requires - for reasons that will be explained below - a preventive review by an independent judge in this case. Initially, it seemed that the legality committee would fulfill this task, but that is not the case, as this committee does not meet the independence requirements that apply to judges.

In the current setup, it is primarily up to the participants of the cooperation association themselves to assess whether a proposed processing complies with the legal criteria for it. However, those participants will generally have no interest in blocking processing deemed useful by one or more participants. Although a legality committee is provided for, it consists of representatives of those participants in the cooperation association. This committee is thus of (some) significance from the perspective of expert, careful, and transparent consideration, but does not provide an independent prior judgment on whether a proposed processing can withstand scrutiny against all criteria and whether the significant interference with fundamental rights can take place lawfully.

Data subjects are often not formally suspects, but the processing of personal data by all participants of cooperation associations collectively has an impact that is at least comparable to the impact of the use of heavy investigative means (with a preventive independent judicial review) such as searching a home, placing a wiretap, or demanding telecom data. These often involve processing that data subjects do not (and should not have to) expect and of which the data subject will often also be unaware. Therefore, requesting a review by an independent judge is excluded. Moreover, the risk that the processing will not remain limited to the 'strictly necessary' is in fact greater than in criminal prosecution, precisely because the investigation does not

4 Article 1.8 of the legislative proposal.

5 A public prosecutor cannot fulfill that task either, as that is not an independent authority in the Netherlands.

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is limited to what is covered by a concrete suspicion. Previously, the AP pointed out the tension with the presumption of innocence that arises here.

From the nature of the partnership, an additional risk follows: the partnership is 'merely' a collaboration and not in itself a legal entity or an administrative body, and therefore does not have its own unambiguous legal basis for processing. It always concerns participants who are 'merely' collaborating. The political accountability for the whole is therefore poorly arranged, if not factually absent. Although the individual participants in the partnership are formally jointly responsible for processing in the sense of the GDPR⁶, they must always have their own adequate legal basis for the processing in which they participate, whereby the necessity of that processing must also be established for each participant in every specific case. This is also an aspect that must be carefully monitored and critically assessed: it is not predetermined that every (private) participant adds value in every case. If the necessity of sharing for one or more participants is not sufficiently substantiated, meaning that sharing is not strictly necessary, then there is no basis for that processing.

The AP is therefore of the opinion that an independent judicial review prior to the processing is a necessary (and customary) safeguard in this context to guarantee the assessment of the necessity of the processing for each participant and to prevent a broad imbalance in the protection of the citizen.⁷

Content of the judicial review

The preventive judicial review – of which the decision must of course be binding – aims, among other things, to ascertain and to allow for independent assessment of whether a situation indeed arises in which the facts and circumstances known to one or more participants qualify under the criteria formulated for each partnership as a 'threshold', whether it is then necessary for that information to be shared with all participants (and, if not, with which ones) and, for example, regarding which information it is necessary to additionally share in order to obtain a complete or more complete picture of one or more involved parties. And/or to allow for independent assessment of whether the presented facts and circumstances indeed make it sufficiently plausible that there is a so-called 'enforcement bottleneck' for which it is necessary to invoke the powers included in this legislation that lead to (often significant) infringements of fundamental rights. Only in this way can it be ensured that all processing by all participants in all cases remains limited to what is strictly necessary and that all other safeguards are also complied with. Should there be a need to share personal data with (one or more) participants from other partnerships, the judge must also assess the necessity of that processing.

6 Article 1.4 of the legislative proposal.

7 It is not uncommon to tie access for authorities to large amounts of sensitive personal data without the knowledge of the parties involved to prior judicial authorization; often this is also necessary, see for example CJEU March 2, 2021, ECLI:EU:C:2021:152 (H.K./Estonia), see paragraphs 50-54, CJEU October 6, 2020, ECLI:EU:C:2020:791 (La Quadrature du Net), see paragraphs 183-189, CJEU December 21, 2016, ECLI:EU:C:2016:970 (Tele2), see paragraphs 119-120.

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****Who requests a judicial review?****

All partnerships – and also the relevant criteria that always apply as thresholds – are fundamentally aimed at detecting serious criminal offenses and/or preventing them and/or enforcing penalties or measures and/or maintaining public order. The mayor is responsible for maintaining public order, while the public prosecutor is responsible for criminal enforcement. These are public law tasks and responsibilities. A mayor is accountable to the municipal council, and for criminal enforcement, the Minister of Justice and Security is politically responsible with an obligation to account to the House of Representatives. Participants in the partnerships effectively provide assistance in achieving those goals of public law tasks: maintaining public order, detecting criminal offenses (or preventing them). This assistance is – as can be understood – required in certain cases because a mayor and/or a public prosecutor cannot achieve that goal in certain forms of serious crime or serious disturbances of public order without that assistance and/or by solely relying on existing powers. Given these objectives of the partnerships, it is logical that the request for authorization from a judge (or investigating judge) for the use of powers based on this legislation that lead to significant intrusions into the fundamental rights of citizens is always made by a mayor and/or a public prosecutor. This also keeps the democratic accountability lines for (not) requesting these authorizations clear, compels the mayor and/or the public prosecutor to always assess in advance whether, based on the information provided by one or more other participants, the desired significant intrusion into the fundamental rights of citizens is truly necessary for the stated goals, and keeps these authorities well positioned regarding their responsibility for respectively maintaining public order and criminal enforcement.

****Judicial review not always necessary****

Insofar as participants in partnerships carry out categories of processing that can be objectively demonstrated to have little or no impact on those involved, such as merely requesting/exchanging

personal data with another participant, the legislator may potentially specify these categories concretely and exempt them from the requirement of prior judicial review.

****Partially optional nature of essential restrictions by general administrative regulation****

As outlined, the acceptability of the system largely depends on the extent to which the legislator binds the execution of these processes to clear criteria. Given the requirement to establish these criteria in a tailored and sufficiently precise manner, it is not in itself objectionable to allow further refinement of criteria to be established by the government at the level of a general administrative regulation (amvb). The Constitution also permits this. However, it concerns provisions in the amvb that are necessary to make the system as a whole acceptable. From the perspective of legislative architecture and democratic legitimacy, it is preferable to establish such provisions also at the level of formal law; the involvement of the people's representatives in the consideration of whether the public interest justifies the processing of citizens' data without the citizens choosing this themselves is, in itself, an important safeguard for the freedom and autonomy of the citizen. In any case, the fact that a number of

8 See also Parliamentary Documents I 2022/23, 35 447, K, p. 27.

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important delegation principles in the legislative proposal have an optional character ('may' instead of 'shall') do not fundamentally affect the acceptability and legality of the system. In such cases, the government is formally free to refrain from establishing criteria or to make limited use of the given legislative authority, while it is precisely necessary regarding various components to comply with all requirements of the principle of proportionality and thereby achieve lawful processing and lawful infringements of fundamental rights. This particularly concerns regulations regarding the sources from which data may originate, criteria that the signal at the RIEC's must meet, and criteria for the provision of results to a third party, criteria for the handling of a case in the Care and Safety House and its prioritization, and the conditions and limitations on the provision of police data. Article 1.8 of the legislative proposal contains a general basis to impose conditions and limitations on all processing. Optional wording of this is acceptable, provided that this provision is intended as a safety net for unforeseen gaps. To the extent that essential conditions and limitations rest on this – as is the case here concerning various components – these should indeed be specified and the basis should, in that respect, be formulated imperatively.

For comparison: from a rule of law and democratic perspective, it is also difficult to imagine that the Code of Criminal Procedure (the formal law) would limit itself to creating a general authority for law enforcement officers to stop citizens, with a so-called optional provision (for a general administrative regulation) in which a general basis is created to impose conditions and limitations on this authority. After which the minister then limits this authority per general administrative regulation to 'suspects' and further determines that 'suspects are those who, based on facts or circumstances, give rise to a reasonable suspicion of guilt for any criminal offense' and this authority is further limited to only being allowed to ask for – in short – personal data.

The Constitution and the Charter of Fundamental Rights allow this form of legislation, and Parliament may delegate/give away its legislative powers/involvement as desired (largely), but the democratic norm should still be: the more intrusive an involuntary interference in the freedom rights of citizens, the greater the formal and substantive involvement of Parliament and the less is therefore delegated. In this legislation, the opposite is the case. And another norm should be: a formal law must already be lawful concerning the infringement of fundamental rights in itself to lawfully infringe upon fundamental rights and should not depend on the content of a general administrative regulation regarding core provisions. This is also not the case with this legislation.

Advice regarding the system

The AP advises in the already promised amending legislative proposal (removing the expansion possibility) to also include the requirement of prior authorization by the examining magistrate. In that 9 Art. 2.4, (FEC), 2.12, second paragraph, (iCov) and 2.30, second paragraph, (Care and Safety Houses) of the legislative proposal. Art. 2.22, second paragraph, (RIECs) is, on the point of sources, however, formulated imperatively.

10 Article 2.23, ninth paragraph, of the legislative proposal.

11 Article 2.31, twelfth paragraph and Article 2.32, fifth paragraph, of the legislative proposal.

12 Article 4.1 of the legislative proposal (amendment of the Police Data Act).

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In this context, essential provisions for the acceptability of the system from the draft general administrative regulation in the legislative proposal could also be included and/or the delegation bases for this could be formulated as imperatively as possible.

The AP notes that, in its opinion, the Senate should not adopt the current legislative proposal pending the legislative proposal with the intended amendments.

Finally, the evaluation pursuant to Article 5.1 of the WGS should, in the opinion of the AP, not only focus on whether the stated policy objectives are achieved with the WGS and the current draft but also explicitly on whether the collaborative partnerships remain necessary and whether the protection of personal data ultimately receives sufficient form in practice.

The draft (BGS)

In addition to the above, the AP has a limited number of comments on the draft for the general administrative regulation itself.

Scope of the draft

The draft establishes further rules for the implementation of the Data Processing Act by collaborative partnerships (hereinafter: WGS). This includes, among other things, designating a participating government agency as a contact point for the data subject, the working method and distribution of responsibilities among the participants in exercising the GDPR rights of the data subject, rules regarding the content and manner of conducting audits, and the composition and working method of the legality advisory committee. Furthermore, the draft imposes general restrictions on the processing of personal data as regulated in the WGS. This concerns the requirement for the input of lawfully obtained data, the framing of data exchange between collaborative partnerships, and the specification of maximum retention periods. Additional criteria, safeguards, and/or restrictions are set for the execution of the activities of the collaborative partnerships (Financial Expertise Center (FEC), the Infobox Criminal and Unexplained Assets (iCOV), the Regional Information and Expertise Centers (RIEC's), and the Care and Safety Houses (ZVH)).

Advice

Editorial exception to the maximum of three lines in reports on relationships or contacts

The participants of the FEC provide the FEC with data that gives insight into relevant relationships and contacts of natural persons or legal entities that may be linked to possible unexplained or criminal asset components or money laundering schemes, with possible financing of terrorism or other financial-economic crime.¹³ The draft limits this

13 Based on Article 2.4, first paragraph, subparagraph e, of the WGS.

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relationships and contacts up to the second degree or three lines from the involved legal entity or natural person.¹⁴ An exception to this limitation applies.¹⁵

A similar regime applies to reports on relationships surrounding natural or legal persons by the iCOV. An exception to this limitation also applies to the iCOV.¹⁶ The restrictive rule is: the investigation into (personal) data of relationships and contacts of the subject may not extend beyond the contacts/relationships of the contacts/relationships of the subject. The concept refers to this as 'three direct lines from the subject' (or the second degree). However, the partnership may process data about more persons if there is a chain of organizations or persons that are in a business relationship with the subject. A chain is only present if there is a business relationship and, for example, not in the case of family ties.

The use of the term "if" suggests that in that case the limitation to three lines of the first paragraph of Article 2.3, respectively 2.7, is no longer applicable at all. The mere presence of a 'chain' (as referred to in the second paragraph) would open the door to also mapping those who are more than three direct lines removed, even when they have no connection to that chain.

The AP advises clarifying that the exception only applies to the contacts and relationships that are related to the 'chain of asset creators, executives, stakeholders, or persons who are in a business partnership with the involved natural person or legal entity', for example, by replacing 'if' in the second paragraph of Article 2.3, and in Article 2.7, with 'to the extent that'.¹⁷ The necessity for provision will also need to be part of the preventive judicial review concerning each 'line', in order to ensure that the processing remains limited to what is strictly necessary.

Specification of data regarding living situation (RIEC)

In the RIEC, participants provide information about a subject based on Article 2.22, first paragraph, introductory phrase and under a, under 1, of the WGS, including the "data regarding the living situation." In Article 2.15 of the concept, this data is specified as follows: data from a participant about how the person lives, considered from a socio-economic perspective, the nature and number of registrations at the address, and the history of registrations at the address.

The AP notes that this description does not constitute a real specification of the term "data regarding the living situation." In particular, "how the person lives, considered from a socio-economic perspective" is subjective and vague. In light of this, this specification does not meet the requirement of foreseeability.¹⁸

As far as the history of registrations at the address is concerned, it is unlikely that this data can still be understood under the term "data regarding the living situation" of a subject in normal language use.

¹⁴ Article 2.3, first paragraph, of the concept.

¹⁵ Article 2.3, second paragraph, of the concept.

¹⁶ Article 2.7, second paragraph, of the concept.

¹⁷ Guideline 3.11 of the Guidelines for Legislation.

¹⁸ Consideration 41 of the GDPR, and, among others, ECHR April 26, 1979 A-30, NJ 1980, 146, (Sunday Times/United Kingdom) para. 47.

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It is therefore required that the concept of "how the person lives, from a socio-economic perspective" in Article 2.15 of the draft is specified, and that the phrase "and the history of registrations at the address"

is removed from the provision.

Access to iCOV systems

Article 1.11 of the draft sets requirements for granting authorization to individuals for access to the systems in which personal data is processed. Item a (declaration of conduct) and b (screening for the benefit of the organization) of the enumeration apply to all collaborations and are alternatives. Item c, on the other hand, explicitly pertains to the requirements applicable for access to the iCOV systems. This item requires screening based on the highest classification level¹⁹ applicable to the data processed by the participants.

The relationship between the items of the enumeration is not clear. Due to the alternative nature of the enumeration, it would be sufficient for processing data with a high classification level within the iCOV to comply with, for example, only item a or b.

The AP advises clarifying the relationship between the items of Article 1.11, for instance, by placing the standard from item c in a separate paragraph.

Workload of the AP

It is likely that the draft will require the AP to make additional efforts. This effort has not yet been accounted for in the funding of the AP. This must be addressed in consultation with the Minister for Legal Protection - who is responsible for the budget from which the AP is financed - prior to the entry into force. For this reason, a copy of this advice is sent to the Minister for Legal Protection.

Disclosure of the advice

This advice will be published on the AP's website within two weeks.

Yours sincerely,
Authority Personal Data,

Aleid Wolfsen
Chairman

¹⁹ Indication of the expected adverse consequences for the interests of the State, its allies, or one or more ministries if (part of) the information becomes known to unauthorized persons (Article 1 of the Decree on Information Security Regulations for the National Service for Special Information 2013 (VIRBI 2013). As a result, documents are designated as departmental confidential or state secret.